

ALLIANCE KCSE 2025 PREDICTION



POSSIBLE KCSE EXAM



BUSINESS STUDIES

565/2

PAPER 2

TIME: 2½ HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS TO CANDIDATES

- a) Write your name and index number in the spaces provided above.*
- b) Sign and write the date of the examination in the spaces provided above.*
- c) This paper consists of 6 questions.*
- d) Answer any **five** questions in the spaces provided.*
- e) All questions carry equal marks*
- f) Non –programmable silent electronic calculator may be used.*
- g) Candidates must answer the questions in English.*

FOR EXAMINER'S USE ONLY

Question	Maximum score	Candidate's score
	20	
	20	
	20	
	20	
	20	
TOTAL		

QUESTIONS

1. a) Explain **five** benefits of division of labour to an organization. (10 mks)
- b) With the aid of a diagram, explain the effect of an increase in the supply of a commodity while its demand remains constant. (10mks)
- 2 a) Explain **five** ways in which central bank of Kenya may control the supply of money in the country (10mks)
- b) Explain **five** characteristics of property insurance. (10mks)
- 3 a) Highlight any **five** merits of direct tax. (10mks)
- b) Explain the differences between a public company and a public corporation (10mks)
- 4 a) Explain **five** features of oligopoly. (10mks)
- b) Kenya is experiencing a general increase in prices of commodities. Explain any **five** causes of this trend. (10mks)
- 5 a) On July 2022, Ufanisi Traders had cash in hand sh 3,500 and cash at bank shs. 140,000. The following transactions took place during the month
- July 2: Cash sales sh 42, 000 was paid direct into the bank.
- July 3: Received a cheque of sh 15000 from Kariuki in full settlement of his debt.
- July 8: Bought goods by cheque sh 26000.
- July 13; Paid Wanjiku by cheque sh 24000 after deducting 5% cash discount.
- July 17; Withdrew sh. 40,000 from bank for office use.
- July 22; Bought office furniture by cheque sh. 50,000
- July 27; Received a cheque for sh 9000 from Waweru after deducting a 5% cash discount.
- July 30; Banked all the money except sh. 7000Required:
- Prepare a Three-Colum cash book and balance it off. (10mks)
- b) Explain **five** factors that would influence the choice of office layout to be adopted by a firm.(10mk

6 a) The following information related to Rashid Traders for the year ended 31st May 2019. **(10mks)**

	Shs.	
Purchases	150,000	
Opening stock	40,000	
Closing stock	10,000	
Margin		40%
Total expenses	5,000	
Capital	100,000	

Calculate:

- | | |
|------------------------------|---------------|
| a) The mark-up | (1mk) |
| b) Cost of goods sold | (2mks) |
| c) Gross profit | (2mks) |
| d) Sales | (2mks) |
| e) Net profit | (1mk) |
| f) Rate of return on capital | (2mks) |

b) Explain five challenges facing the transport industry in Kenya today **(10mks)**